Downward Breakouts

	Bull Market	**Bear Market**
Reversal or continuation	Short-term bearish continuation	Short-term bearish continuation
Performance rank	12 out of 36	6 out of 19
Breakeven failure rate	18%	7%
Average drop	16%	23%
Volume trend	Downward	Downward
Pullbacks	65%	61%
Percentage meeting price target	34%	33%

The classic definition of scallops refers to the ascending variety only, where you sometimes find repeated saucer-shaped patterns in a rising price trend. If there is an ascending variety, there is probably a descending variety. I decided to find out and searched for them.

Scallops may make a tasty meal, but as a chart pattern, they leave me hungry except in bear markets where the performance rank is sixth and failures are in the single digits. In bull markets, the failure rate is high and performance isn't great, either.

Let's take a closer look at descending scallops to see if anything smells fishy (did you notice how I worked that pun in?).

Tour

Figure 59.1 shows three examples of descending scallops. A downward price trend leads to the first scallop in September, the widest of the three. The scallop begins with the minor high in August (point A), drops to find support at C, and curves upward. On the right, the first minor high on the upward retrace marks the end of the pattern (B).

Descending scallops resemble the letter J reversed, with the end (B) approximately halfway up the distance to the start (A) in this example. For